3.7.8 Net present value

Unit 3.7 Analysing the strategic position of a business · 7 key points

- **Net present value (NPV):** present value of inflows − initial cost
- **Discount factor:** converts future cash into today's value
- **Why discount:** money received in the future is worth less than money now
- **Positive NPV:** project worth doing at that discount rate
- **NPV strength:** considers the timing of cash flows
- **NPV weakness:** depends on the discount rate chosen and on forecasts
- **Investment criteria:** targets a project must meet, e.g. payback within 3 years